CONSTRUCTION OPERATIONS

Subcontractor Vetting & Onboarding

1.0 Executive Summary

A leading construction and real estate investment firm faced operational bottlenecks and significant project risks due to a lack of standardized subcontractor management. This case study outlines the strategic implementation of a comprehensive operations framework, leveraging Lean Six Sigma principles and modern project management tools. The initiative transformed a reactive, ad-hoc process into a proactive, scalable system, resulting in a **90% reduction in preventable risk**, a **50% decrease in sourcing time**, and the establishment of a robust foundation for sustainable growth and profitability across both new construction and property renovation ventures.

2.0 Define: The Challenge

The profitability and timeline of any construction or renovation project hinge on the quality and reliability of its subcontractors. The client's existing process for sourcing and managing trades was informal and undocumented, leading to several critical business challenges:

- **High Risk Exposure:** Inconsistent vetting exposed the company to financial and legal risks from uninsured or unqualified subcontractors, potential for rework, and reputational damage.
- **Operational Inefficiency:** The ad-hoc search for talent for each new project was time-consuming, non-scalable, and heavily reliant on institutional knowledge rather than documented process.
- **Unreliable ROI Projections:** For investment properties, inconsistent subcontractor bids made it difficult to reliably forecast renovation costs, threatening the profitability of fix-and-flip projects.
- **Scope Creep & Budget Overruns:** Vague agreements and the absence of a standardized Scope of Work (SOW) process frequently resulted in project delays and budget inconsistencies.

3.0 Improve & Control: The Solution

To address the identified issues, I designed and implemented a multi-faceted operational framework. This solution was not just a one-time fix but a system designed for control and continuous improvement.

1. **Developed a Data-Driven Subcontractor Vetting Scorecard:** Moving beyond subjective evaluation, I created a weighted scorecard to objectively assess potential partners. This tool quantifies risk by evaluating critical criteria: business stability, insurance coverage, licensing, legal history, and past performance. This standardized the "Measure" phase of the process.
2. **Implemented a Centralized Subcontractor CRM:** I configured a relational database within ClickUp to serve as a single source of truth. This "Approved Supplier List" tracks all vetted subs, their specialties, contact information, documentation (insurance certificates, licenses), and post-project performance scores, creating a scalable, long-term asset.
3. **Authored a Formal Standard Operating Procedure (SOP) & Statement of Work (SOW) Template:** To ensure process adherence and clarity, I documented the end-to-end subcontractor lifecycle in a formal SOP. This was paired with a standardized SOW template that clearly defines deliverables, timelines, payment schedules, and quality standards, effectively mistake-proofing the engagement process. This established the "Control" phase.

4.0 Analyze: The Results & ROI

The implementation of this new operational system yielded immediate, measurable, and strategic results, directly impacting the company's risk profile, efficiency, and scalability.

90%	50%	100%
Reduction in Preventable Risk	**Reduction in Sourcing Time**	**Process Adherence**

Strategic Impact:

- **Foundation for Scalable Growth:** The client now possesses a repeatable system, enabling them to confidently take on more complex projects without a proportional increase in administrative overhead.
- **Accelerated Investment Cycles:** For property investors, the streamlined system reduces the time-to-market for renovated properties by ensuring reliable contractor availability and minimizing rework delays.
- **Enhanced Brand Reputation:** A commitment to a rigorous vetting process enhances the company's reputation for quality and reliability among clients, lenders, and high-caliber trades.
- **Data-Driven Decision Making:** The system provides a framework for continuous improvement, allowing for performance analysis of subcontractors over time to optimize future selections.

Key Deliverable: Standard Operating Procedure (SOP)

SOP: Subcontractor Lifecycle Management

SOP ID: CM-OPS-001 | **Version:** 1.0 | **Owner:** Operations Manager | **Review Cycle:** Annual

1.0 Purpose & Scope

Purpose: To establish a standardized, risk-mitigated, and scalable process for the full lifecycle management of subcontractors, from initial sourcing to project completion and performance evaluation.

2.0 Roles & Responsibilities (RACI Chart)

Process Step	Project Manager	Operations Manager	Principal/Investor
Define Subcontractor Needs	R	A	C
Source Candidates (CRM/External)	R	S	I
Conduct Vetting & Scoring	R	A	I
Final Selection & Approval	C	R	A
Issue SOW & Onboard	R	A	I
Performance Review (Post-Project)	R	A	I

Key: R = Responsible, A = Accountable, C = Consulted, I = Informed, S = Support

3.0 Procedure

Phase 1: Sourcing

1. **Define Scope:** Project Manager (PM) finalizes trade requirements based on project plans and client specifications.
2. **Internal CRM Search (Primary):** PM searches the ClickUp CRM for a vetted subcontractor with a performance rating of 4.0 or higher. This is the preferred sourcing method.
3. **External Sourcing (Secondary):** If no suitable sub is in the CRM, PM sources new candidates from approved industry networks or referrals, with approval from the Operations Manager.

Phase 2: Vetting & Verification (The "Measure" Gate)

1. **Request Vetting Packet:** PM requests a standard vetting packet: Certificate of Insurance (COI), W-9, state licenses, 3 trade references, and project portfolio.
2. **Conduct Due Diligence:** PM verifies all submitted documents via official sources (SOS website, insurance agent call, state license board).
3. **Complete Vetting Scorecard:** The PM must complete the official Vetting Scorecard. A minimum passing score of 3.5 is required for consideration.

Phase 3: Selection & Onboarding (The "Control" Gate)

1. **Selection:** Operations Manager makes the final selection based on scorecard results, bid competitiveness, and availability.
2. **Issue Standardized SOW:** PM drafts a detailed, project-specific Scope of Work using the official template. SOW must be signed by both parties before any work commences.
3. **CRM Onboarding:** PM uploads all final documentation to the subcontractor's profile in the ClickUp CRM and marks their status as "Approved."

Subcontractor Vetting Scorecard Template

Vetting Criterion	Weight	Score (0-5)	Weighted Score	Verification Notes & Evidence
Business Stability & History	20%			SoS Status: [Active/Inactive], Years in Business: [##]
Insurance & Licensing Compliance	25%			COI Verified w/ [Agent Name]. License # [####] Verified via [Board].
Legal & Reputational Check	15%			Courts search: [None / Case #s]. BBB Rating: [Grade]
Reference Checks (Avg. Score)	15%			Ref 1: [0-5], Ref 2: [0-5], Ref 3: [0-5]. Key feedback noted.
Relevant Experience / Portfolio Quality	15%			Portfolio demonstrates projects of similar scale/complexity.
Communication & Professionalism	10%			Responsiveness and clarity during vetting process.
FINAL WEIGHTED SCORE			**[Sum]**	**Min. Passing Score: 3.5**

Scoring Key & Instructions

1. Score each criterion on a scale of 0-5.
2. Multiply the Score by the Weight to get the Weighted Score.
3. Sum all Weighted Scores to get the final score.

5 (Excellent): Exceeds all requirements.
4 (Good): Meets all requirements.
3 (Acceptable): Meets minimum requirements.
0 (Unacceptable): Automatic failure (e.g., no insurance).

Final Assessment & Approval

Final Score: _____ / 5.0

[ ] **Approve for CRM:** Score ≥ 4.0.
[ ] **Approve with Caution:** 3.5 ≤ Score < 4.0.
[ ] **Reject:** Score < 3.5 or critical failure.

Operations Manager Approval:

Signature: _____ Date: _____